

UPDATED EXTRACT OF THE EXPOSURE DRAFT OF PROPOSED INTERNATIONAL STANDARD ON QUALITY MANAGEMENT 1 (PREVIOUSLY INTERNATIONAL STANDARD ON QUALITY CONTROL 1) – QUALITY MANAGEMENT FOR FIRMS THAT PERFORM AUDITS OR REVIEWS OF FINANCIAL STATEMENTS, OR OTHER ASSURANCE OR RELATED SERVICES ENGAGEMENTS

(MARKED FROM AGENDA ITEM 2–A POSTED FOR DECEMBER MEETING)

NOTE:

The purpose of this paper is to provide the Board with proposals to address certain offline comments received by the Quality Control Task Force (QCTF) prior to the December Board meeting. These are not the only changes that the QCTF will propose arising from the offline comments, and represent more significant changes on areas of the standard where many comments were received.

Introduction – Explanation of the Firm's Risk Assessment Process

10. In taking a risk-based approach to quality management, the firm applies the firm's risk assessment process to the other components. The firm's risk assessment process consists of:

- (a) Establishing quality objectives. The quality objectives ~~the firm~~ established by the firm consist of are the individual objectives the firm needs to achieve that, ~~collectively taken together,~~ provide the firm with reasonable assurance that the objectives of the system of quality management, stated in paragraph 21(a) and (b), are achieved. ~~This ISQM sets out individual quality objectives for each of the components that the firm is required to establish are included in this ISQM and are organized by component. However, taking into account the nature and circumstances of the firm and its engagements, the firm also~~ is required to determine whether it is appropriate to establish additional quality objectives beyond those required by this ISQM are needed in order for the firm to achieve the objective of this ISQM. In addition, the firm may determine that more granular quality objectives than those required by this ISQM are appropriate given the nature and circumstances of the firm and its engagements.
- (b) Identifying and assessing risks to the achievement of the firm's quality objectives (referred to in this standard as quality risks). The firm is required to identify and assess its quality risks based on ~~an its~~ understanding of the conditions, events, circumstances, actions or inactions that may affect the achievement of ~~its the~~ quality objectives, taking into account the nature and circumstances of the firm and its engagements.
- (c) Designing and implementing responses to address the assessed quality risks. The firm is required to include This ISQM includes certain required the responses set forth in this ISQM, which are organized by component, in its responses to its quality risks. The responses in this ISQM are relevant to every firm's system of quality management, and are therefore that are applicable to all firms because they would be expected in every system of quality management.

However, the responses required by this ISQM alone are not sufficient to address a firm's the quality risks because:

- (i) The ~~design, implementation and operation of these~~ responses alone will not address all of the assessed quality risks ~~identified and assessed by the firm, which may result in and therefore either~~ the quality objectives required by this ISQM or additional quality objectives determined by the firm (if any) or the objective of the system of quality management may not being achieved; and
- (ii) The nature, timing and extent of the responses that are required to appropriately address all of the firm's quality risks will be vary based on, and responsive to, the reasons for the assessments given to the quality risks.

Accordingly, the firm is required to design and implement responses in addition to the responses required by this ISQM to address its assessed quality risks.

Definition of Deficiencies

22. In this ISQM, the following terms have the meanings attributed below:

- (a) Deficiency in the firm's system of quality management (referred to as "deficiency" in this ISQM)
 - This exists when:
 - (i) A quality objective required by this standard is not established or the firm does not establish an additional quality objective that is required to achieve the objective of this ISQM;
 - (ii) ~~or~~ A quality risk has not been appropriately identified or assessed ~~is absent, such that a quality objective may not be achieved; or~~
 - (ii) ~~, or a~~ A response to address a quality risk is not appropriately properly designed or operating effectively, such that a quality objective may not be achieved. (Ref: Para. ~~A6–A7~~)

~~A6. A quality risk is absent when a quality risk has not been identified or appropriately assessed, such that a quality objective may not be achieved.~~

A7. A response to address a quality risk is not deficiency in:

- Properly ~~The design~~ ed of a response exists when a response necessary to address a quality risk is absent or a response is not properly designed in a manner that effectively addresses a related quality risk, such that a quality objective may not be achieved. A deficiency in the design of a response may also arise from a quality objective or quality risk not being appropriately specific, given the nature and circumstances of the firm and its engagements.
- ~~The o~~ Operating on of a response exists effectively when a response that is properly designed is not implemented appropriately or does not operate as designed, which results in the related quality risk not being effectively addressed such that a quality objective may not be achieved.

Requirement to Establish Quality Objectives

29. The firm shall establish the quality objectives required by this ISQM ~~to facilitate the achievement of the objective of this ISQM~~. The firm shall also determine whether ~~it is appropriate to establish~~

additional quality objectives beyond those required by this ISQM are needed, in order to achieve the objective of this ISQM. (Ref: Para. A46–A50)

Requirement to Communicate Externally

43. In designing and implementing responses to address the quality risks identified by the firm relating to the information and communication quality objectives, the firm shall include the following responses:

...

- (c) Establishing policies or procedures that address the nature, timing, and extent of communication and matters to be content of communication with external parties, including:
- (i) Communication to external parties as required by law, regulation or professional standards. (Ref: Para. A144)
 - (ii) Communication with the network. (Ref: Para. A145)
 - (iii) Communication with service providers. (Ref: Para. A145–A146)
 - (iv#) Other communication to external parties about the firm's system of quality management, in a transparency report or otherwise, when the firm determines it appropriate to do so, taking into account:
 - a. Whether there are external parties identified by the firm who may use such information to support their understanding of the quality of the engagements performed by the firm because. In identifying such external parties, the firm shall take into account of the nature of the engagements the firm performs and the types of entities for which such engagements are performed, including whether, and the extent to which the firm performs engagements for entities that may be of significant public interest; and. (Ref: Para. A147–A155)
 - b. The nature and circumstances of the firm, including the requirements of law or regulation regarding communication externally about the firm's system of quality management and the firm's operating environment.